

2Q26 preview and our thoughts on recent performance

Key Takeaways

- We forecast revenue growth of 10.6% YoY and adjusted EBITDA growth of 23% YoY/1.1% QoQ.
- The slower QoQ pace largely reflects more back-end-loaded chip supply.
- We also expect some new orders into the results after some hyperscaler tenders during the quarter.
- We're also watching for more details on the synergy with CATL after the transaction's approval. We hope to get more visibility into future development.

Our thoughts on recent performance: The share price has remained weak even though fundamentals remain solid, in our view, and Shandong Hi Speed has recently approved the transaction with CATL in a [special resolution](#).

We think macro factors such as the US yield environment have been dominant, capping valuation. As shown in [Exhibit 2](#) below, VNET's EV/EBITDA has a high correlation with the inverse 10-year TIPS yield, given its high leverage.

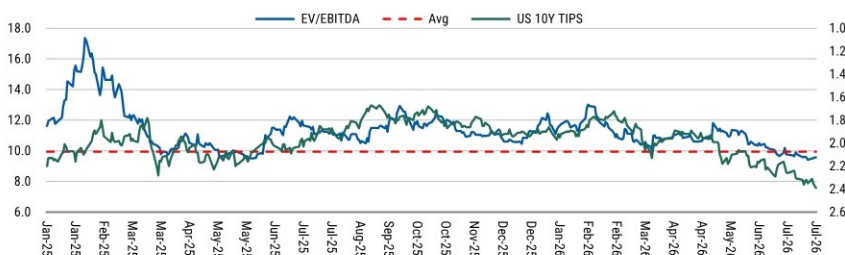
We see this more as a sentiment drag. VNET's debt is mostly financed onshore and should not be affected by the offshore rate environment.

Exhibit 1: VNET – 2Q26 preview

Years Ending December 31	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	% YoY	% QoQ
Rmb mn								
Net revenues	2,246	2,434	2,582	2,687	2,691	2,691	10.6%	0.0%
Cost of revenues	1,681	1,886	2,043	2,147	2,075	2,015	6.8%	-2.9%
Sales and marketing expenses	64	70	71	74	54	-		
G&A (including bad debt provision)	210	236	203	250	241	-		
R&D costs	44	68	71	79	74	-		
Total operating expenses	318	374	346	402	369	374	0.0%	1.2%
Other operating income	1	(1)	13	15	0	(0)		
Adjusted EBITDA	682	732	758	805	892	902	23.1%	1.1%
% margin	30.4%	30.1%	29.4%	30.0%	33.1%	33.5%		
Profit before tax	(168)	112	(254)	734	41	160		
Net profit	94	(82)	17	(415)	(529)	551		

Source: Company data, Morgan Stanley Research estimates.

Exhibit 2: VNET – EV/EBITDA vs. US 10-year TIPS (inverse) – key valuation drag



Source: FactSet, Morgan Stanley Research.

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VNET Group Inc (VNET.O, VNET US)

Top Pick

Greater China Telecoms | China

Stock Rating	Overweight
Industry View	In-Line
Price target	US\$16.00
Up/downside to price target (%)	105
Shr price, close (Jul 22, 2026)	US\$7.82
Sh out, dil, curr (mn)	271
Mkt cap, curr (mn)	US\$2,119
EV, curr (mn)	US\$4,578
Avg daily trading value (mn)	US\$57.00

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	(1.52)	0.98	2.25	4.10
Prior EPS (Rmb)**	-	-	-	-
Revenue, net (Rmb mn)	9,949	11,936	14,492	17,297
EBITDA (Rmb mn)	2,906	3,640	4,714	5,906
ModelWare net inc (Rmb mn)	(418)	264	610	1,111
P/E	NM	54.3	23.5	12.9
P/BV	2.6	1.7	1.3	1.0
EV/EBITDA	11.2	10.5	9.6	8.3

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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AlphaSignals Earnings Preview

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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VNET Group Inc VNET.O

EBITDA growth — In-line — Largely unchanged

- We forecast EBITDA growth of 23% YoY/1.1% QoQ. The QoQ pace reflects more back-end-loaded capacity addition.
- We also see potential new orders being announced with the coming results.

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

VNET Group Inc (VNET.O)

Base case, 10-year discounted cash flow (DCF) model. Our assumption of weighted average cost of capital (WACC) is 8.7%, with a 4.0% cost of debt, 14.0% cost of equity and 50% debt weighting. We assume a terminal growth rate (TGR) of 3%.

Risks to Upside

- Adding new wholesale contracts
- Faster move-in than expected
- Further interest rate cuts in China or the US
- Progress in asset monetization via REITs at accretive valuations

Risks to Downside

- Hyperscalers reducing their cloud capex, especially AI-related investment
- Delay of capacity delivery
- Weak sales execution

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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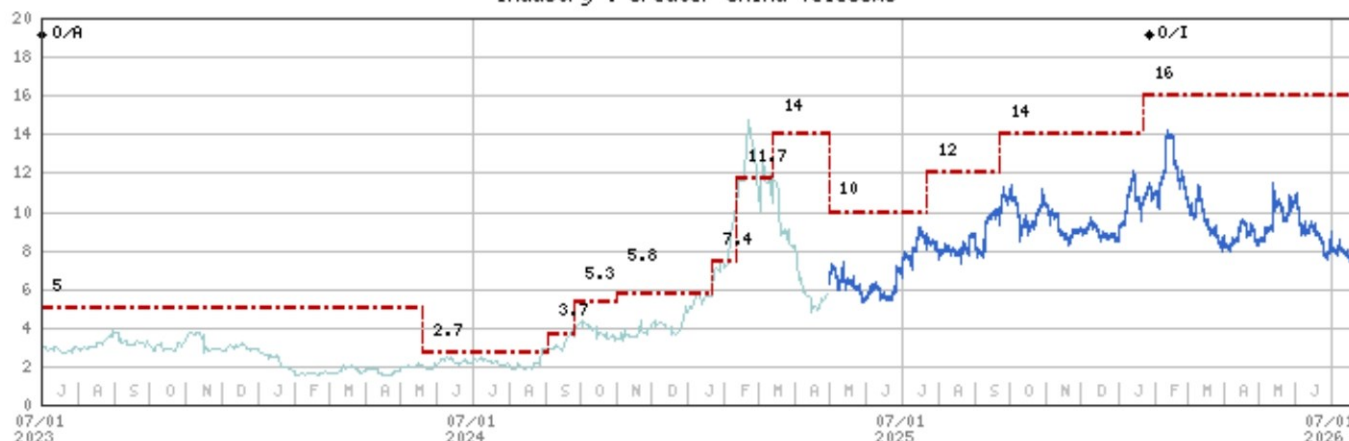
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VNET Group Inc (VNET.O) - As of 07/23/26 GMT in USD
Industry : Greater China Telecoms



Stock Rating History: 7/1/21 : 0/A; 1/27/26 : 0/I

Price Target History: 5/18/21 : 37; 10/8/21 : 26; 2/9/22 : 16; 5/16/22 : 12; 9/12/22 : 11; 11/15/22 : 8.2; 3/13/23 : 5;
5/20/24 : 2.7; 9/3/24 : 3.7; 9/26/24 : 5.3; 11/1/24 : 5.8; 1/21/25 : 7.4; 2/10/25 : 11.7; 3/13/25 : 14; 4/30/25 : 10; 7/22/25 : 12;
9/22/25 : 14; 1/22/26 : 16

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) --- Stock Price (Covered by Current Analyst) ---
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Greater China Telecoms

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/23/2026)
Gary Yu		
China Mobile Limited (0941.HK)	E (01/27/2026)	HK\$81.40
China Mobile Limited (600941.SS)	E (07/06/2023)	Rmb94.43
China Telecom (601728.SS)	E (07/06/2023)	Rmb6.04
China Telecom (0728.HK)	E (01/27/2026)	HK\$4.64
China Tower Corp Ltd (0788.HK)	O (01/21/2025)	HK\$9.83
China Unicom (0762.HK)	E (01/27/2026)	HK\$6.63
China United Network Communications (600050.SS)	U (10/30/2016)	Rmb4.42
Tom Tang		
Beijing Sinnet Technology (300383.SZ)	U (05/16/2022)	Rmb13.17
China Communication Service Co Ltd (0552.HK)	E (11/12/2024)	HK\$4.20
Chunghwa Telecom (2412.TW)	E (04/29/2025)	NT\$138.00
Far Eastone (4904.TW)	O (10/16/2024)	NT\$102.50
Guangdong Aofei Data Technology Co Ltd (300738.SZ)	E (10/23/2023)	Rmb22.63
HKBN Ltd (1310.HK)	E (10/20/2025)	HK\$5.89
HKT Trust and HKT Ltd. (6823.HK)	O (12/11/2020)	HK\$12.77
PCCW Ltd (0008.HK)	E (09/07/2023)	HK\$5.85
SUNeVision Holdings Limited (1686.HK)	O (08/03/2020)	HK\$4.83
Taiwan Mobile (3045.TW)	E (01/27/2026)	NT\$112.00
VNET Group Inc (VNET.O)	O (10/04/2017)	US\$7.82
Yang Liu		
GDS Holdings Ltd (GDS.O)	++	US\$32.70

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.